

Rhode Island 2026 Session

Bitcoin, Blockchain & Digital Asset Legislation

Prepared by the Rhode Island Bitcoin Policy Initiative

April 2026

The 2026 Rhode Island legislative session features an unprecedented number of bills addressing Bitcoin, blockchain, and digital assets. These bills span six distinct policy areas: studying blockchain's potential, encouraging blockchain innovation, enabling decentralized governance structures, protecting citizens' digital property rights, reducing friction for digital asset payments, and regulating virtual currency kiosks. This overview summarizes each bill, its current status, and RIBPI's position.

1. STUDYING BLOCKCHAIN'S POTENTIAL

H 7956 (House) / S 2198 (Senate) — Blockchain Study Commission

House: Rep. Casey | Innovation, Internet & Technology Committee (heard 3/5/26) | Senate: Sens. DiPalma, Gu, Burke, Urso, Paolino, Zurier | AI & Emerging Tech Committee (hearing 4/7/26) | Introduced Jan. 23, 2026 (Senate) | Predecessor: S 0373 (passed Senate 36-0 in 2025)

These companion bills create a five-member special legislative study commission to examine how Rhode Island can benefit from blockchain technology and digital assets. The commission would include the Secretary of Commerce (as Chair), the DBR Director, and three public members with expertise in academia, financial institutions, and federal securities law. Its mandate: review the national landscape of blockchain and cryptocurrency, assess Rhode Island's current legal framework, study non-fungible tokens, solicit expert input, and compile recommended legislation with consumer protections. The commission must deliver an interim report by January 5, 2027 and a final report by January 5, 2028.

RIBPI Position:

STRONG SUPPORT

The Senate already passed this unanimously as S 0373 in 2025; it never received a House vote. Other states have used study commissions to great effect: Wyoming's 2018 Blockchain Task Force led to 50+ blockchain-friendly laws and Kraken relocating to Cheyenne; Colorado's 2018 commission led to the Colorado Digital Token Act and \$5M+ in higher education investment. At the federal level, the GENIUS Act and CLARITY Act are shaping a framework—states with commissions in place will be best positioned. RIBPI testified in support on March 5, 2026.

2. ENCOURAGING BLOCKCHAIN INNOVATION

H 7413 — Rhode Island Economic Growth Blockchain Act

Introduced Jan. 30, 2026 by Rep. David J. Place | House Corporations Committee | Heard Feb. 3, 2026 | 28 pages, comprehensive framework bill

This is the most ambitious blockchain bill in Rhode Island history. H 7413 would create three new institutional structures: (1) a 13-member Rhode Island Blockchain Technology Advisory Council appointed by the Governor and Commerce Corporation to support research institutions, promote entrepreneurial development, and advise the legislature; (2) a financial technology regulatory sandbox allowing innovators to test new financial products and services with temporary waivers from certain statutes, administered by the Superintendent of Banking with a 24-month sandbox period and \$500 application fee; and (3) a new category of special purpose depository institutions—state-chartered banks designed specifically to serve blockchain and digital asset businesses, addressing the banking access problem that has hampered blockchain companies nationwide.

The bill also establishes comprehensive definitions for digital assets, open blockchain tokens, custodial services, and virtual currency—providing the legal infrastructure Rhode Island currently lacks. It targets blockchain development in the state's 25 federal Opportunity Zones across 15 municipalities.

RIBPI Position:

SUPPORT

H 7413 represents the kind of comprehensive, pro-innovation framework that states like Wyoming have used to attract blockchain investment. The regulatory sandbox addresses a real barrier: existing legal frameworks were built before blockchain existed, and innovators need room to test products under supervision. The special purpose depository institution solves the chronic banking access problem for blockchain companies. This bill complements the study commission (H 7956 / S 2198) by providing actionable infrastructure alongside the research mandate.

3. ENABLING DECENTRALIZED GOVERNANCE

H 7843 — Rhode Island Decentralized Autonomous Organization Act

Introduced Feb. 27, 2026 by Rep. Stephen M. Casey | House Corporations Committee | Heard April 2, 2026

H 7843 would add a new Chapter 17 to Title 7 of the Rhode Island General Laws, establishing a legal framework for Decentralized Autonomous Organizations (DAOs) to operate as limited liability companies in Rhode Island. The bill provides for DAO formation, governance through smart contracts, limited liability protections, annual reporting to the Department of Business Regulation

(DBR), a regulatory sandbox for pilot projects, and capital formation through federally compliant private placements.

Key provisions include: (1) articles of organization requiring disclosure of on-chain governance contract addresses and a Rhode Island registered agent; (2) governance through smart contracts or digital consensus mechanisms with liability limited to each member's financial contribution; (3) annual reporting to DBR with cybersecurity standards consistent with existing financial institution requirements; (4) a regulatory sandbox for DAO entities to pilot infrastructure and financing initiatives under DBR oversight with full AML/KYC/FinCEN compliance; and (5) capital formation through Regulation D private placements and on-chain financing mechanisms.

Rhode Island would become the fifth state to enact a DAO-specific legal framework, following Wyoming (2021), Tennessee (2022), Vermont (2018), and Utah (2023). The bill's inclusion of a regulatory sandbox and explicit capital formation provisions distinguishes it from those states' frameworks.

RIBPI Position:

SUPPORT WITH AMENDMENTS

RIBPI supports the intent and direction of H 7843 and commends Rep. Casey's continued leadership on blockchain policy. However, the bill as introduced contains drafting gaps that should be addressed before passage: (1) no statutory definition of "decentralized autonomous organization," "smart contract," or "governance token"; (2) the relationship to Rhode Island's existing LLC statute (Chapter 16 of Title 7) is undefined; (3) the regulatory sandbox lacks parameters for application, duration, and graduation; (4) the bill takes effect upon passage with no implementation runway for DBR to promulgate rules; (5) no mechanism for dispute resolution when smart contracts malfunction; (6) no member identification requirements beyond a registered agent; and (7) duplicate section numbering (§ 7-17-7 appears twice). RIBPI recommends the committee hold the bill for targeted amendments and coordinate with the Blockchain Study Commission proposed in H 7956.

4. PROTECTING CITIZENS' PRIVATE KEYS

H 7957 (House) / S 2196 (Senate) — Private Key Protection

House: Rep. Casey | Innovation, Internet & Technology Committee (heard 3/5/26) | Senate: Sens. DiPalma, Gu, Burke, Urso, Paolino, Zurier | AI & Emerging Tech Committee (hearing 4/7/26) | Introduced Jan. 23, 2026 (Senate)

Prohibits courts and government agencies from compelling production of a private cryptographic key when the corresponding public key can provide the necessary information. The bill preserves every existing tool available to courts—they can still compel production, transfer, or disclosure of a digital asset and require a full accounting. It simply establishes that the private key itself should not be demanded when less invasive means suffice. A practical exception allows compelling the private key when the public key cannot provide the needed information.

RIBPI Position:

STRONG SUPPORT

Mirrors Wyoming's 2023 Disclosure of Private Cryptographic Keys Act (Senate 31–0, House 41–13). A private key is not an asset—it is a master key controlling assets, identities, and accounts simultaneously. Compelling disclosure is like demanding the deed to someone's house when a court only needs their mailing address. The federal CLARITY Act explicitly protects self-custody rights. RIBPI testified in support on March 5, 2026.

5. REDUCING FRICTION FOR DIGITAL ASSET PAYMENTS

S 2021 (Senate) / House Companion (TBD) — Bitcoin Tax Exemption Act

Introduced Jan. 9, 2026 by Sen. Appollonio | Senate Finance Committee | House companion anticipated in House Finance Committee

Creates a de minimis exemption from state income and capital gains tax for small-scale Bitcoin transactions. Bitcoin sales or exchanges up to \$5,000/month and \$20,000/year would be exempt. Taxpayers self-certify on their annual return and maintain reasonable records. The bill is a one-year pilot with a built-in sunset (effective January 1, 2027, sunsets January 1, 2028). DBR would issue plain-language guidance on recordkeeping and valuation methods.

RIBPI Position:

STRONG SUPPORT

RIBPI drafted the predecessor bill (S0451 in 2025) and worked with Sen. Appollonio to refine S 2021. Under current law, every Bitcoin transaction—no matter how small—is a taxable event. A \$5 coffee purchase with Bitcoin triggers a reporting obligation. The fiscal impact is estimated at \$500K–\$2.5M annually (0.01–0.04% of general revenue). Missouri eliminated crypto capital gains tax entirely; New Hampshire authorized treasury Bitcoin investment. Rhode Island—ranked 40th in tax competitiveness—needs to signal it is open for business in the digital economy.

6. VIRTUAL CURRENCY KIOSK REGULATION

H 5121 Substitute A — Virtual Currency Kiosk Regulation

Signed into law June 2025 | Chapter 19-14.3 of the General Laws

The foundational kiosk law. Created Rhode Island's licensing and regulatory framework for virtual currency kiosk operators (Bitcoin ATMs): transaction limits (\$2,000/day new customers, \$5,000/day existing), mandatory on-screen fraud disclosures, full-time compliance officer requirement, blockchain analytics mandates, refund obligations for scam victims, live customer service requirements, and quarterly reporting to DBR.

RIBPI Position:

CONCERNS

The bill addresses a real problem—crypto kiosk scams targeting elderly Rhode Islanders—but RIBPI has identified structural flaws: disclosures mirror failed gift-card warning systems; cumulative compliance exceeds \$200K/year (fatal for small RI businesses); no provisions target actual criminals; and transaction limits are not risk-adjusted. RIBPI's current position is that further kiosk legislation should be held pending the Blockchain Study Commission.

H 7955 (House) / S 2648 (Senate) — Expanding Kiosk Definitions

Introduced Feb. 27, 2026 | House: Innovation, Internet & Technology Committee (heard 3/5/26) | Senate Commerce Committee (heard 4/14/26) | Sponsors: Reps. Casimiro, Donovan, Spears, Potter, Alzate, Shallcross Smith

Amends § 19-14.3-1.1 of the Rhode Island General Laws (Chapter 19-14.3, enacted last session as S 0016 Sub A / H 5121 Sub A; codified as P.L. 2025, ch. 113) to capture businesses using digital products or applications directing customers to pay in person—including through a clerk or other intermediary—rather than through a physical kiosk. Targets app-to-counter and voucher-at-register models that avoid the existing framework.

RIBPI Position:

CONCERNS — Supports the Goal, Opposes the Drafting

RIBPI supports closing the loophole but has identified five drafting problems: (1) "facilitates or enables" language is overbroad; (2) every newly captured entity inherits the full Chapter 19-14.3 compliance burden (low-to-mid six figures annually) with no tiering; (3) critical terms are undefined; (4) no implementation period; and (5) the custodial/non-custodial distinction is collapsed. RIBPI's ask to Senate Commerce: hold S.2648 until the Blockchain Study Commission (S 2198, in Senate AI & Emerging Technology / H 7956 in House) has been enacted and has completed its work. Commerce cannot pass the Commission itself — it is a different committee's jurisdiction — but it can sequence its own kiosk legislation after the Commission's record has been built. RIBPI is deliberately not offering a redline — the issues are structural, not linguistic. Policy brief and Senate testimony available.

THE BIG PICTURE

These eight bills represent the most significant blockchain and digital asset legislative activity in Rhode Island's history. Taken together, they address the full lifecycle of digital asset policy: how the state studies and understands the technology (study commission), how it creates an innovation-friendly environment (blockchain growth act), how decentralized organizations can form and operate with legal clarity (DAO LLC act), how digital property rights are protected (private key legislation), how everyday transactions are treated for tax purposes (de minimis exemption), and how consumers are protected at point of sale (kiosk regulation).

RIBPI's overarching concern is that Rhode Island is legislating in these areas without a coordinated strategy. Kiosk bills move through Innovation, the tax bill through Senate Finance, the blockchain

growth act and DAO LLC act through House Corporations—all without a dedicated subcommittee or study commission to coordinate these efforts. This is precisely why H 7956 and S 2198 matter: they would create the institutional infrastructure to evaluate these issues holistically rather than piecemeal.

Rhode Island is ranked 40th out of 50 states in tax competitiveness and competes directly with New Hampshire, which has no state income tax and has already authorized its treasury to invest in Bitcoin. We cannot match that. But we can be smarter—and these bills, properly crafted and coordinated, are an opportunity to position Rhode Island as a thoughtful, innovation-friendly state in the digital economy.

Quick Reference

Bill	Subject	Committee	Status	RIBPI
H 7956 / S 2198	Blockchain study commission	House Innovation / Senate AI & Emerging Tech	Heard 3/5 (House) Senate hearing 4/7	Support
H 7413	Blockchain growth act	House Corporations	Heard 2/3	Support
H 7843	DAO LLC Act	House Corporations	Heard 4/2	Support w/ Amendments
H 7957 / S 2196	Private key protection	House Innovation / Senate AI & Emerging Tech	Heard 3/5 (House) Senate hearing 4/7	Support
S 2021 + companion	Bitcoin tax exemption	Senate Finance / House Finance	Introduced	Support
H 5121 Sub A	Kiosk regulation	N/A (signed into law)	Law (June 2025)	Concerns
H 7955 / S 2648	Expand kiosk definitions	House Innovation / Senate Commerce	Heard 3/5 (House) Heard 4/14 (Senate Commerce)	Concerns

Prepared by the Rhode Island Bitcoin Policy Initiative (RIBPI) | ribpi.com | Contact: Dan Hersey, Founder | dan@ribpi.com | @RIBTCPolicy

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